

HCS HB 1659 -- CONVERTING A BUSINESS TO PRODUCE CERTAIN STRATEGIC MATERIALS

SPONSOR: Steinmeyer

COMMITTEE ACTION: Voted "Do Pass with HCS" by the Standing Committee on Higher Education and Workforce Development by a vote of 9 to 0. Voted "Do Pass" by the Standing Committee on Rules-Legislative by a vote of 11 to 1.

The following is a summary of the House Committee Substitute for HB 1659.

This bill authorizes the "Missouri Defense and Energy Independence Act", creating a grant program within the Department of Economic Development to assist qualified companies in converting facilities to produce strategic materials.

The bill creates the "Missouri Defense and Energy Independence Fund". The Department may award grants from the fund to qualified companies for eligible conversion costs consisting of a minimum private capital investment of \$500,000, any expenses for labor and materials, and other conversion expenses.

To be eligible for a grant, a qualified company must meet the following requirements:

- (1) Have submitted a conversion plan to the Department.
- (2) Demonstrate that the company has incurred at least \$500,000 in private capital investments toward the conversion.
- (3) Provide documentation showing compliance with Missouri labor, environmental, and tax laws.

Grants may not exceed \$1 million per project per fiscal year, and require repayment if a company does not complete its approved conversion.

The program sunsets 10 years after its effective date unless reauthorized.

The following is a summary of the public testimony from the committee hearing. The testimony was based on the introduced version of the bill.

PROPONENTS: Supporters say that this bill will provide funding for businesses in the State to reinvest in future innovative investments to make Missouri a nation leader for enterprise while still maintaining conservative governance.

Testifying in person for the bill was Representative Steinmeyer.

OPPONENTS: Those who oppose the bill say that the private sector should pay for its own innovation. The State is looking at a large deficit in funding and providing money to private companies that does not have a guaranteed return of investment is akin to corporate welfare. There are not enough environmental controls and this should not be the role of government in these economic times.

Testifying in person against the bill was Arnie Dienoff.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.